

BLOCK 3

FREE TRADE VERSUS PROTECTIONISM

Unit 5	Policies of Protectionism
Unit 6	Instruments of Protectionism

BLOCK INTRODUCTION

This block presents the comparative analysis of free trade and protectionism. It discussed the various policies and instruments of protectionism and their implications on World economy. This block comprises of two units

Unit 5 **Policies of Protectionism** talks about free trade and protected trade. It elaborates the benefits and costs associated with free trade and protected trade. The unit also presents the economic and non-economic arguments for protectionism. In order to present the complete picture, it also delves into arguments against protectionism. The Unit also contextualizes the theme by discussing the latest Developments in India's Protectionism Policy and their implications on the Indian economy.

Unit 6 **Instruments of Protectionism** extends the theme discussed in previous unit by explaining various tariff and non-tariff barriers to trade. It delves into economic impact of tariff in partial and general equilibrium analysis. Using diagram, it also describes export subsidy and the impact it has on the economy. The unit also discuss quantitative restrictions like import quota and Voluntary export restraints and their impact on the economy along with other non-tariff barriers like exchange controls, import deposit schemes, health and safety standards, customs valuation procedure and local content requirements.

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UNIT 5 POLICIES OF PROTECTIONISM *

Structure

5.0 Objectives

5.1 Introduction

5.2 Free Trade vs Protectionism

5.2.1 Concept of Free Trade

5.2.1.1 Advantages and Disadvantages of Free Trade.

5.2.2 Concept of Protected Trade

5.2.2.1 Benefits and Costs of Protected Trade

5.3 Protectionism Policies

5.4 Economic and Non-Economic Arguments for Protectionism

5.4.1 Economic Arguments

5.4.2 Non-Economic Arguments

5.5 Arguments Against Protectionism

5.6 Let us sum up

5.7 Key Words

5.8 Some Useful References

5.9 Answers/Hints to Check Your Progress Exercises

5.0 OBJECTIVES

After studying this Unit, you should be able to:

- distinguish the distinction between free trade and protected trade;
- identify the benefits and costs associated with free trade and protected trade;
- analyse the protectionism policies in international trade;
- discuss the impact of protectionism policies on the economy; and
- analyse the protectionism policy of India.

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5.1 INTRODUCTION

You have learnt in earlier units about all the classical, neo-classical and modern trade theories. You have also seen that free trade is better than autarky. Although free trade is better than autarky, is free trade better than protected trade, i.e., trade protected by tariffs, import quotas or subsidies? The countries that impose restrictions on trade tend to follow protectionism trade policy. Tariffs and non-tariff measures are used to restrict the trade. A tariff is a price-based policy to restrict trade and others are non-price-based policy (non-tariff barriers). In this unit, you will learn the concepts of free trade and protected trade, the protectionism policies and the arguments for and against protectionism. Emphasis will be laid on the protectionism policy of India.

5.2 FREE TRADE VS PROTECTIONISM

International trade between countries can be either protected trade or free trade. Protectionism is all about restrictions on international trade to support domestic industries. Usually, protectionist policies are implemented to benefit the domestic industry players. Common examples of protectionism include tariffs, quotas, and subsidies. These protectionism tools are used to make foreign goods expensive and promote domestic industries. Free trade is a trade policy where government interventions and restrictions do not impede trade. It is the opposite of trade protectionism. As per many economists, gains from free trade extend beyond the production distortions and elimination of consumption.

5.2.1 Concept of Free Trade

Free trade is a policy where trade barriers in respect of all items among member countries are completely eliminated while, at the same time, each member country follows its own policy in regard to trade with non-member countries. In such a natural environment of international commerce, the nations can focus on their core competitive advantage thereby increasing output and growth of the economy. According to classical economists like Adam Smith (1776) and David Ricardo (1816) and modern economists, the most fundamental doctrine is welfare enhanced with free trade. In the words of Adam Smith, free trade is a commercial policy in which there is no distinction between domestic and foreign goods. With such a policy, no restrictions to trade exist between the countries. While the basic objective of the free trade is improving the welfare of people within the region through creating a larger production base and increased market size for producers, and wider choice to both producers and consumers.

5.2.1.1 Advantages and Disadvantages of Free Trade

The reasons that have prompted several countries to create free trade area includes: safeguards against the advent of monopolies, increased world production and consumption, helps in building better linkages with other countries, higher earnings of the factors of production, and benefits for consumers as well as producers.

The advocates of free trade put forward the following **advantages of free trade**:

1) **Higher Efficiency and Optimum Utilisation of Resources**

Free trade stimulates the managerial efficiency of domestic producers, leading to the optimum utilization of the factors of production. Under free trade, each country imports those products in which the country has a comparative disadvantage and produces those products in which it has a specialization. So, the resources get utilized in the best possible manner.

2) **Reduced Tariff measures leads to Trade Creation**

Trade creation happens when consumption shifts from high-cost to low-cost producers. Under free trade, tariffs, and non-tariff barriers are slashed leading to the creation of trade.

3) **International Specialization**

Free trade leads to international specialization as with the expansion of trade the different countries produce those goods in which they have a comparative advantage. International trade enables countries to reap the benefits of specialization like the countries can obtain various products. Otherwise, in a world of no trade, the countries would have a scarcity of some products. Nepal would have no oil, Britain no tea, and Iceland no coal.

4) **Build better Relations with other Countries**

Countries under free trade share common economic interests and work together towards increasing prosperity and their people's standard of living, which helps build better relations with member countries. As a result of free trade, trade creation, and trade diversification happen which helps in forming better linkages with member countries as well as non-member countries.

5) **Removes Evil effects of Protection**

The evil effects of protectionism such as the growth of monopolies and high prices, etc., can be removed with the help of Free trade.

6) **Imported goods at a lower rate**

From the consumers' side, it is one of the important arguments in favor of free trade. Under Free trade imported goods can be procured at lower prices. Consumer benefits from free trade through cheap rates, and producers benefit from increased earnings due to specialization and optimum utilization of resources.

7) **Enhanced Competition**

Free trade leads to enhanced competition in the market that prevents the growth of monopolies and promotes fair prices in the market. So, it compels the local producers to enhance their efficiency or quit the market.

8) Economic Growth

With the expansion of trade, the countries reap the benefits of a competitive market, increased efficiency, and growth of production. All these benefits of free trade add to the better standard of living, and rising income increases nations' economic growth.

Although free trade has several benefits, it is abandoned by the countries worldwide. The significant **disadvantages of free trade** are as follows:

- 1) The impact of free trade on third countries' export will result in trade diversion. This will mean loss of market to third countries.
- 2) Some goods which are injurious and harmful are not allowed to import freely thereby, trade barriers become inevitable in such a scenario.
- 3) It becomes difficult for established domestic or newly developed industries to compete with efficient foreign industries. So, they need assistance from the government to survive in the competitive environment.
- 4) Companies often cut the corners and ignore environmentally friendly practices. In order to produce at a lower cost and become more efficient, the companies violate environmental legislation which raises pollution-related concerns.

5.2.2 Concept of Protected Trade

After understanding the concept of free trade and the advantages and disadvantages from free trade. The question now arises, what have been the reasons for adopting restricted trade? Let us analyse the concept of protectionism. Generally, Protectionism refers to left-wing politics which support economic populism. On the contrary, right-wing politics support free trade. The countries adopt protectionist policies to protect the employment of domestic industries, promote the growth of MSMEs and serve as a security shield to the nation.

Protectionism is the economic policy that is used to protect domestic industries from foreign competition. Generally, it is a defensive measure that limits the competition from well-established foreign industries. The policy of protectionism works in the short run but it can be proved very destructive in the long run. Protectionism includes government trade policies that limit free trade between particular countries and promote domestic industries. With the help of tariffs, import quotas, and subsidies to local producers, the government protects local industries from foreign competition.

Examples of Protectionism

1) EU Agricultural Protectionism

To increase the farmer's income and protect the local farmers, the EU still uses tariff rates on agricultural products such as animal & dairy products,

fruits & vegetables, coffee, tea, cereals and Preps, oilseeds, fats & oils, sugars and confectionery, Beverages & tobacco, and other agro products.

2) Banana Wars

Tariffs were imposed on Banana imports from Latin America for a long time however, tariffs were reduced to some extent in the 2012 agreement.

3) Tariffs of the Trump Administration

President Donald Trump imposed higher tariffs on refrigerators, washing machines, and clothes from China. While China also retaliated and imposed tariffs on agricultural exports of the US.

4) Argentina Tariffs on Food

Under the Mercosur Common External Tariff, the import duties on agricultural products have increased.

5) Anti-Dumping Tariffs

Anti-Dumping tariffs are justified by the WTO because cheap imports due to dumping make the survival of domestic firms difficult. Therefore, the tariffs may be justified to prevent the adverse effects of dumping.

6) Illegal Subsidies

To support the domestic export industry, another protectionism measure called subsidies is used so that domestic producers can compete in the global market. For example, the US filed a complaint in 2012 that China subsidies excessively to support its car industry. And like European airlines have been given a subsidy by the European government to prevent their airlines from busting.

7) Growth of Red Tape

Red tape is a popular method among countries nowadays to strangle traders instead of breaking WTO rules by putting tariffs. To discourage imports, some countries prefer imposing red tape rather than tariffs which causes a hike in the trading cost of administration. For instance, for discouraging the exports of developing countries, the highly stringent standards set by developed countries.

8) Devaluation as Protectionism

Devaluation of currency is a kind of unfair trade practice adopted by developing countries to make their exports more competitive against foreign competition. For instance, to make Chinese exports highly competitive against the EU and the US producers, China has often resorted to currency devaluation.

5.2.2.1 Benefits and Costs of Protected Trade

Benefits of Protected Trade

Particular governments adopt protectionist policies due to following reasons:

- 1) Protected trade safeguards local jobs and infant industry from foreign competition.
- 2) It protects consumers from unsafe foreign products that could be harmful and injurious to health and thus discourage unethical practices.
- 3) Protectionism policies prevent the adverse effects of dumping practices and preserve culture.
- 4) Protected trade helps lower import bills and improves the country's trade balance.
- 5) Foreign exchange kitty shall be sufficient to meet the necessary obligations. Sometimes, to preserve the foreign exchange resources, protectionism helps in the rational allocation of forex for selected imports.
- 6) Trade barriers tend to boost the economy's GDP due to growth in domestic production.

Costs of Protected Trade

After understanding the benefits of protected trade, let us now discuss the cost of protected trade

- 1) The natural resources do not get utilised properly which encourages inefficient industries.
- 2) By restricting foreign competition, a monopoly market is created, which reduces the welfare of society and increases the loss to consumers.
- 3) It leads to inequality in the distribution of national income,
- 4) The trade barriers restrict the total volume of foreign trade
- 5) Protectionism policies adversely affect international relations and global diplomacy.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) What is free trade policy?

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2) What do you mean by protected trade?

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3) Distinguish between free trade and protected trade.

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4. State whether the following statements are True or False:

- a) The impact of free trade on third countries export will result in trade diversion.
- b) Free trade safeguards against the advent of monopolies in the market.
- c) Protected trade improves the trade balance of the country in long run.
- d) Protectionism refers to left-wing politics which support economic populism.

5.3 PROTECTIONIST POLICIES

Protectionist Policies are government controls or measures such as tariffs, quotas, and subsidies to restrict international trade so that local industries can be shielded or protected from foreign competition. The following policies have been adopted across the world to protect domestic producers:

Tariffs: This is the most popular policy measure by which governments worldwide have been interfering with the movement of goods between countries. Tariffs are taxes or duties levied on imported goods. Tariffs make imported goods more expensive for consumers and businesses. To shield local producers from the competitive effect of globalization, tariffs are imposed by a particular government. The tariff-imposing countries benefit from the tariffs as they will be an extra source of income for importing countries. For example, to raise world oil prices, the Organisation of Petroleum Exporting Countries (OPEC) collects tax on oil exports. It works as an extra income source for OPEC, reducing the oil supply in the global market.

Under the “America First” policy of the Trump administration, Tariffs have been imposed on washing machines, solar panels, aluminium, and new tariffs levied on French and Chinese goods like champagne, cheese, and iPhone. The demand for goods from domestic industries will increase as they would be relatively cheaper than imported goods because of tariffs. Tariffs have a special role in trade policy and negotiations.

Tariff is not the only policy measure to limit trade and shield the domestic import-competing industry. The numerous non-tariff barriers are imposed by government to restrict against imports or exports. Now let us briefly discuss major kinds of non-tariff barriers and their implications on international trade.

Import Quotas – It is a non-tariff barrier. Import quotas refers to imposing limit on the quantity of a product imported without prior consultation or negotiation with exporting countries. It is a unilateral quota that limits the number of imported goods during a specific period. In international trade, import quotas regulate and restrict trade volume between countries. The main objective of Import quotas is to lower imports, raise domestic production and reduce the BOP deficit. For example, China has an import quota on exports of rice from Cambodia (3,00,000 tonnes per year). Recently, on June 2021, Indian Government increased the import quota on the urad and tur from Myanmar until March 2026 (for five fiscal years) to raise the domestic production of pulses. Sometimes, import quota is also enacted by the government over quality and safety concerns and to maintain the limited foreign exchange reserve. However, it may displease foreign countries as a result of which they would retaliate with high tariffs on exports. Another disadvantage of levying import quotas is that it does not generate revenue for the imposing government instead foreign producers benefit from it.

For example, Suppose, a developing country wants to boost the domestic manufacturing of electrical goods so that consumers can purchase them at a lower price. For now, that country imports the majority of electrical goods. If the Government decides to impose a quota on imported electrical goods, then the availability of such goods will get limited and their cost will increase. As a result, domestic manufacturers started expanding into the production of electrical goods.

Subsidies – It refers to direct or indirect financial assistance from governments to companies for making them competitive. The government provides subsidies to domestic producers or exporters to stimulate the expansion of such industries. Cash disbursements, preferential exchange rates, or some other favourable treatments are the examples of subsidies. The critics of subsidies argue that they reduce competition, create unfair market conditions that favour certain industries, and distort the free market. The raging war at WTO nowadays between developed and developing countries is about the high subsidies provided by the latter to agriculture and some other industries such as steel. Subsidies help the local companies to be cost competitive not only with imported products but also with domestic products in overseas market. The government provides various types of export assistance to exporters to make the export products more competitive in the overseas market. For example, the USA provides huge subsidies to the domestic agriculture sector, oil and energy producers, etc., that hurts the exporters of developing world. *The Agreement on Subsidies and Countervailing Measures (Subsidies Agreement) of the WTO provides rules for the use of government subsidies and for the application of remedies to address subsidized trade that has harmful commercial effects.*

Technical Trade Barriers (TBT) – It is a type of non-tariff trade barrier capable of distorting international trade. Technical regulations, standards, and conformity procedures are discriminatory and barriers to trade for health, safety, and product labelling. It makes the procedure of export of goods more complex. Often, TBTs are superior to tariffs and create more obstacles for exporters. Testing and Certification are the technical barriers to trade that make the export procedure more difficult. For instance, a product certified by Canada Standard Association (CSA) may not be valid in other countries. So, the product needs to be recertified which is a time-consuming and expensive process. The WTOs agreement of TBTs aims to eliminate these barriers and promote free trade.

Voluntary Export Restraints (VERs) – When the importing country imposes a certain limitation on the maximum volume of exports for the exporting country, it is called Voluntary Export Restraints (VERs). Since the exporters get to decide the volume of exports to the importing country, it is voluntary.

Besides the non-tariff barriers, there are other restrictions, such as local content and foreign investment performance requirement, anti-dumping regulations, government procurement, customs classification and valuation, which we will discuss in detail under the instruments of protectionism in next chapter.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) What do you mean by protectionist policies?

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2) What are tariffs?

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3) Enumerate three protectionism policies.

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- 4) State whether following statements are True or False.
- a) Import quota can also be called the unilateral quota.
 - b) Voluntary export restraints are imposed by importing country itself.
 - c) The raging war at WTO nowadays between developed and developing countries is about import quotas.
 - d) Tariffs are the most popular policy measure by which governments across the world have been interfering with the movement of goods between countries.

5.4 ECONOMIC AND NON-ECONOMIC ARGUMENTS FOR PROTECTIONISM

At different times, several economic and non-economic arguments in favour of protection policies were put forward by economists to justify the protected trade. Some of those arguments are widely accepted and recognized, however, others are rejected outrightly as they proved to be fallacious.

5.4.1 Economic Arguments

The economic arguments mainly focus on strengthening industrialisation and protecting balance of payment from deterioration. The six common economic arguments in favour of protectionism policies are:

Infant Industry

Protectionist policies are advocated to protect the infant industry from foreign exporters. The infant industries refer to small & young industries which lack the experience and expertise to face the competition from established foreign industries. Such sectors have high operating costs in the initial stages of their growth so it becomes highly difficult for such industries to compete with foreign exporters. For example, developing countries like India, Bangladesh, Pakistan, and Sri Lanka often use the excuse of infant industry to impose trade barriers to compete in the international market. Thus, such industries require protection through suitable tariff policies to survive and develop in the long run. The core of this argument can be understood with this saying- 'Nurse the baby, protect the child, and free the adult'. This underlines the significance of protecting domestic industries temporarily until they mature enough to compete against the foreign competition without protection.

However, most of these industries never become mature enough to compete with foreign industries as they do not want these benefits to go away and thus demand the continuation of protection. Mainly for political reasons, it becomes an uphill task for any government to remove protections from infant industries. The critics of this argument emphasized that trade barriers should be imposed temporarily and phased out once the local industries mature enough to compete with foreign exporters.

Diversification of Industries

Protectionism policy plays a significant role in diversifying domestic industries, especially in developing countries. Any country needs to diversify its industrial structure in the long run as the risk of losing foreign markets reduces. Protectionist policies help diversify industries, increasing trade in the long run. This argument laid emphasis on self-sufficiency.

Employment Generation & Protection

Economists advocate protectionism as it helps in creating and protecting jobs in a country. Domestic industries should be given protection in order to deal with the dynamics of the global economy such as inflation because local industries produce more jobs than foreign industries. For example, developing countries use trade barriers to protect employment in that country which is vulnerable to efficient foreign labour.

However, the protectionist policies or ‘beggar-my-neighbour high-tariff policy can create employment only in the short run until other countries reciprocate. So, this argument is fallacious and not convincing as the foreign employment opportunities reduce by limiting imports, and only through export surplus jobs cannot be preserved for a long time.

“Pauper Labour” Argument

Sometimes Protectionist policies are favored by the advanced countries to safeguard employment because the less developed and developing countries have cheaper labour, providing such countries with an unfair advantage. In the absence of protectionist policies, such countries stand to gain more and promote unfair competition in the market. Therefore, it becomes essential to protect the domestic industries from “pauper labour” countries so that higher wages and higher standards of living in developed countries could be maintained. However, the “Pauper Labour” Argument overlooks that labour is not the only factor of production. The rise in the productivity of labour does not necessarily imply an increase in the cost of production. For instance, the pauper labour country uses labour-intensive techniques that may have low productivity, increasing production costs.

Balance of Trade (BOT) Disequilibrium

Protectionism policies have been favoured since World War II to correct the Balance of Trade (BOT) disequilibrium. Tariff policy could be used to create or maintain favorable Balance of trade. Some countries always run a deficit in their BOT, meaning their imports exceed exports. Thus, import tariffs are imposed to create a favorable Balance of trade. In other words, when there is an excess of imports over exports that country is highly dependent on imports thereby a favorable BOT could be maintained by imposing import tariffs. As a result of which, a surplus will create in the BOT of that country. However, this argument is also fallacious. Neither exporter nor importer would gain if all countries follow such a policy at the same time.

Anti-Dumping Regulations

Protectionist policies are advocated to resist dumping practices. A government may resort to anti-Dumping tariffs on the ground that the exporting country is selling a product in the home market at a lower price than in the overseas market. Dumping refers to the price discrimination policy where the seller discriminates between domestic and overseas buyers by selling at lower prices in the overseas market than the home market. Dumping may be resorted temporarily or persistently, driving out competition in the market where the product is dumped. For example, Japanese cameras are more affordable in New York than Japan. Therefore, the tariffs may be justified to prevent the adverse effects of dumping. The WTO justifies anti-dumping tariffs since such practices affect the local producers of similar or substitute products. The consumers stand to gain from dumping only in the short run. In long run, this could be proved fatal for the local producers but benefits the foreign suppliers. The industries adopt this protectionist policy to capture the market share in offshores or unloading the excessive production.

5.4.2 Non-Economic Arguments

Having explained the economic arguments, let us briefly overview non-economic arguments for the protectionism policies. The non-economic arguments are political in nature. The most common three non-economic arguments are explained below:

Defence Argument

From the security concerns, self-sufficiency should be attained by every country. Over-dependence on other nations could be proved fatal in war times. For example, considering this concern, India has covered the defence & aerospace sector under 'Make in India' for 'Atmanirbhar Bharat' by pushing the indigenous manufacturing infrastructure.

Swadeshi Argument

Every citizen should vouch for Swadeshi products to support their economy as supporting Swadeshi will inject the feeling of patriotism and strengthen the economy. It generates more employment in the country by boosting the domestic industry which will further help the economy to grow & prosper. In India, being 'Vocal for local' initiative is an example of promoting indigenous goods. Every citizen must prefer homemade (swadeshi) goods to foreign goods. So, Swadeshi products need to be protected through a suitable tariff policy.

Preservation Argument

Protectionist policies are also advocated to preserve certain occupations such as the agricultural sector. In every economy, the agricultural industry has always been the pillar that is why it is highly protected by tariff policy across both developed and developing worlds. When agricultural industries or farmers stand

to lose from the falling import prices, then countries charge tariffs. For example, in 1819, during Napoleon War, England levied tariffs on wheat to save the peasantry and prevent the production of grains.

5.5 ARGUMENTS AGAINST PROTECTIONISM

After understanding the reasons for Protectionism, let us now discuss the arguments against protectionism.

Reduces World Production and Consumption

The tariffs on imported goods put the exporting country at disadvantage. As they have attained a cost advantage in producing such goods and despite being efficient in producing them, they are not allowed to trade due to the policy of protectionism. So, trade barriers limit the world's production and consumption of goods and services.

Consumers offered inferior quality goods

Protectionist policies affect the welfare of local consumers. Owing to protected trade, efficient foreign firms could not offer high-quality products at a reasonable rate. In order to protect domestic industries, governments often forced the consumer to buy local products of low quality at higher prices. So, the local consumers welfare gets neglected while enforcing trade protectionism policies.

Shields Weak Domestic Industries

It is often argued that trade barriers shield the inefficient local industries which are vulnerable to foreign competition. Protectionism policies are being given to new and small industries which will take time to become efficient in production and reap the benefits of economies of scale. So, these firms are protected to become efficient in the long run but for now, such firms lack efficiency in the production of goods. That is why economists have said that protectionism shields weak domestic industries.

Promotes Conflicts and Trade Wars

Several economists argued that tariffs affect local consumers and create distortions in the market. As a tool of protectionism, tariff causes a hike in the price of imported goods. Therefore, consumers would shift away from expensive imported goods and prefer to buy domestic goods which is relatively cheaper. Another concern related to tariff is that it leads to a trade war. As countries would retaliate and impose tit-for-tat tariffs on their respective exports. Ultimately, the consequences of tariffs are borne by the imposing country's consumers, not the exporting. For instance, under the Trump administration, steep tariffs were imposed on billion-dollar goods from China, the EU, Canada, and Mexico. All these countries retaliated with tariffs on a range of US products.

Check Your Progress 3

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) What do you understand by infant industry?

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2) What is anti-dumping practice?

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3) What do you mean by Balance of Trade disequilibrium?

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4) Enumerate the case for protectionism.

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5) Why the governments should not resort to protectionism policy?

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5.6 LET US SUM UP

In this unit, we discussed about Free trade benefits all but Protectionism, if adopted may or may not benefit all. However, countries do not always adopt free trade policy. Because of protectionism policies, the inefficient industry gets protected, promoting inefficiency in the system. We also presented Economic and non-economic arguments for protectionism.

5.7 KEY WORDS

Tariffs	Duty levied on imported goods.
Free Trade	Absence of restrictions on export and import.
Subsidies	Direct or indirect financial assistance from governments to certain sectors to enhance their competitiveness.
Voluntary Export Restraints	Self-imposed restriction on the export quantity of a good that is permitted to export to another country.
Quotas	A non-tariff barrier which restrict the quantitative amount of a product allowed to be imported into or exported out of a country.
Non-Tariff Barriers	Barriers other than tariffs that restrict the foreign trade.
Dumping	The underpricing of exports, usually below cost or below the home country price.
Protectionist Policies	Government controls or measures such as tariffs, quotas, and subsidies to restrict international trade so that local industries can be shielded or protected from foreign competition.
Balance of Trade	Difference between the merchandise exports and imports.
Trade creation	A situation where trade with non-member countries get increased after the formation of free trade or other regional groupings.
Trade Diversion	A situation where trade with non-member countries is diverted to member countries as an outcome of the formation of a regional grouping.

5.8 SOME USEFUL REFERENCES

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5.9 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check your progress 1

- 1) Refer to section 5.2.1
- 2) Refer to section 5.2.1
- 3) Refer to section 5.2
- 4) a) True b) True c) False d) True

Check your progress 2

- 1) Refer to section 5.3
- 2) Refer to section 5.3
- 3) Refer to section 5.3
- 4) a) True b) False c) False d) True

Check your progress 3

- 1) Refer to section 5.4.1
- 2) Refer to section 5.4.1
- 3) Refer to section 5.4.1
- 4) Refer to section 5.4
- 5) Refer to section 5.5

UNIT 6 INSTRUMENTS OF PROTECTIONISM *

Structure

6.0 Objectives

6.1 Introduction

6.2 Tariff Barriers

6.2.1 Classification of Tariffs

6.2.2 Effective rate of protection

6.2.3 Economic Impact of Import Tariff in partial equilibrium analysis

6.2.4 General Equilibrium Analysis: Impact of Tariff on Volume of Trade and Terms of Trade (TOT)

6.3 Export subsidy

6.4 Non Tariff barriers

6.4.1 Import Quota

6.4.2 Voluntary Export Restraint

6.4.3 Other Non-tariff Barriers

6.5 Let us Sum Up

6.6 Key Words

6.7 Some Useful Books

6.8 Answers/Hints to Check Your Progress Exercises

6.0 OBJECTIVES

After studying this Unit, you should be able to:

- explain various tariff and non-tariff barriers;
- identify the economic impact of Import tariff in partial equilibrium analysis;
- explain the effect of a tariff on production and consumption;
- describe export subsidy and its impact on the economy;
- identify the welfare effects of an export subsidy on producer and consumer groups and the government in the exporting country;
- calculate the national and world welfare effects of an export subsidy; and
- explain various quantitative restrictions in international trade.

* Adapted from Unit 4 of the course MEC 004 written by Dr. Ananya Ghosh Dastidar

6.1 INTRODUCTION

In unit 5, we discussed free trade and protectionism. Free trade allows imports and exports without tariffs or other trade barriers. At the same time, protectionism imply restrictions imposed on international trade to protect domestic industries. The idea behind protectionist policies is to benefit the domestic producers. We also discussed about benefits and costs associated with protectionism. In present unit, we will discuss about instruments of protectionism. The tools of trade protection that countries typically use to restrict imports can be broadly classified into price-related measures such as tariffs and non-price measures or non-tariff barriers (NTBs).

A tariff is a tax imposed on imports. Tariffs can be imposed on imports of both final and intermediate goods. Tariff on final and intermediate goods is considered while estimating the effective rate of protection provided to the domestic industries.

In this unit, we will discuss the concept of 'effective rate of protection', which measures the extent of actual protection provided to domestic industry based on tariffs imposed on final and intermediate goods. Non-tariff barriers (NTBs) are applied to quantities and other attributes of traded goods and services.

We discuss each of these instruments of trade protection in turn.

The tools or instruments of trade protection that countries use to restrict imports can be classified into two categories: tariffs, price-related measures, and non-tariff barriers (NTBs), which are non-price measures.

Tariffs: Tariffs are taxes that are imposed on imported goods. They increase the price of imported goods, making them less competitive in the domestic market, which can provide some degree of protection to domestic producers. There are different types of tariffs, such as specific tariffs (based on the quantity or weight of the imported goods) and ad valorem tariffs (based on the value of the imported goods). Tariffs can be imposed at different stages of production or trade, such as at the border or on intermediate goods, which affects the overall level of protection provided to domestic producers.

Non-tariff barriers (NTBs): NTBs are measures that countries use to restrict imports without necessarily imposing a tax or a duty on imported goods. These can include measures such as quotas, which limit the quantity of a particular product that can be imported into a country, and voluntary export restraints (VERs), which are agreements between exporting and importing countries that limit the quantity of exports of a particular product. NTBs can also include technical barriers to trade (TBTs), which are regulations or standards that are used to restrict imports of certain products, and anti-dumping measures, which are imposed when a foreign producer is found to be selling goods in the domestic market at a lower price than in the exporting country.

In addition to these measures, subsidies are another tool that countries use to protect domestic industries. Subsidies are payments or other types of support provided by governments to domestic producers. They can be used to make domestic products more competitive by reducing their production costs, which can help protect domestic industries from foreign competition.

It is important to note that while these measures can protect domestic industries, they can also negatively affect consumers by increasing the cost of imported goods and other industries that rely on imports of intermediate goods. Therefore, countries need to carefully consider the trade-offs involved in using protectionist measures and weigh the benefits of protecting domestic industries against the costs to consumers and other industries.

6.2 TARIFF BARRIERS

As we have discussed in the previous unit, Tariff is a duty or tax imposed by the government of a country upon the traded commodity as it crosses the national boundaries. The levying of import tariffs brings relative changes in the prices of factors and products. Thus, the tariff brings an important change in the structure of international trade. Though many, various trade barriers advocate free trade, do exist in international trade. An import tariff is one of them. We have discussed various arguments in favour of trade protectionism in Unit 5. Majorly, countries impose trade barriers to protect their domestic industries or sectors from foreign competition, to conserve the foreign exchange reserves of the country and also to avoid dumping

In this section, we will discuss different categories of tariffs along with the effect of a tariff on the economy.

6.2.1 Classification of Tariffs

Tariffs are of several types, and these can be classified into different groups or sub-groups as below:

1) Classification based on Criterion for tariff imposition:

Based on the criterion for tariff imposition

These can be of the following types:

- a) Specific tariff,
- b) Ad Valorem tariff,
- c) Compound tariff and

a) **Specific Tariff:**

A specific tariff is the fixed sum levied on each unit of the commodity imported or exported. Sometimes, weight or any other measurement of a commodity is charged instead of the physical unit. Such duties can be

levied on goods like wheat, rice, fertilizers, cement, sugar, cloth etc. Specific duties are quite easy to administer, as they do not involve the evaluation of the goods. Imposition of specific duties enables the government to keep out of the complexities of prices.

However, specific duties cannot be levied on high-valued goods such as diamonds, jewellery, watches, T.V. sets, motor cars, works of art like paintings etc. These articles can be taxed either based on weight, the surface area covered or the number of articles.

b) Ad Valorem Tariff:

‘Ad Valorem’ is the Latin word that means ‘on the value.’

When the duty is levied as a fixed percentage of the value of the traded commodity, it is called an Ad Valorem tariff. Such duties are levied on the products the value of which is disproportionately higher compared to their physical characteristics such as weight or measurement. These duties are more equitable as the costly goods, generally consumed by the rich, bear a greater burden of duty, while the cheaper goods bought by the poor, bear a lesser burden of tariff.

c) Compound Tariff:

The compound tariff is a combination of specific and ad valorem tariffs. The compound tariff includes specific duty on each unit of the commodity along with a percentage of ad valorem duty. Compound tariffs bring a greater elasticity to revenues. They also ensure more effective protection for domestic industries.

2) Classification based on the Purpose which a Tariff serves:

Based on the purpose that tariff serves, Tariffs can be of two types:

- a) Revenue Tariff and
- b) Protective Tariff.

a) Revenue Tariff:

Sometimes the intention of the government behind imposing tariffs is revenue generation. Especially in developing countries, the government sometimes rely on tariffs as a source of revenue.

However, many times imposing tariffs also doesn't generate revenue. Tariff imposition may also lead to a shift of consumer demand from imported goods to domestic products, thus reducing the tariff collection. Usually, the rate of revenue tariff is kept low so that the revenue generated from the tariff is not curtailed because of reduced imports.

b) Protective Tariff:

When the purpose behind the imposition of a tariff is the protection of domestic industries from foreign competition, the tariff is called a protective tariff. As against revenue tariff, the rate of protective tariff is kept higher to reduce the imports. When the tariff rate is higher the protective effect of the tariff is also greater. A perfect protective tariff will prohibit imports. However, a case against protective tariffs is that because of zero competition from foreign producers, domestic producers will become inefficient and they might not be able to face competition even in long run.

3) Classification based on Discrimination:

Tariff systems can be classified into three categories based on their application in different countries.

- a) Single-Column tariff
- b) Double-Column tariff
- c) Triple-Column tariff

a) Single-Column Tariff:

The Single-Column Tariff also known as the uni-linear tariff system provides uniform tariff rates to all commodities irrespective of the country of origin. It is a simple tariff system and is easy to administer. It is a non-discriminatory tariff which sometimes becomes inelastic to adjust to the changing needs of the domestic industries.

b) Double-Column tariff:

Different tariff rates are charged for different countries in the Double-Column tariff system. The double-column tariff system is divided into two different types of tariffs: (a) General and conventional tariffs. The legislature fixes the general schedule at the very start while the conventional schedule is based on commercial treaties with other countries. (b) There are two autonomously determined schedules of tariff-the maximum and the minimum.

The minimum schedule applies to those countries who have taken the MFN (most favoured nation) pledge or signed an agreement. The maximum schedule applies to all other countries.

c) Triple-column tariff:

The triple-column tariff system consists of three autonomously determined tariff schedules-the general, the intermediate and the preferential. The general and intermediate tariff rates are like the maximum and minimum rates mentioned above under the Double-

Column tariff system. Preferential tariffs were once imposed between nations and their colonies.

4) **Classification based on Products:**

Tariffs can be classified on the basis whether a product is imported or exported. On this basis, the tariffs can be of two types:

- a) Import duties and
- b) Exports duties.

a) **Import Duties:**

If the home country imposes a tariff upon the products of foreign countries as they are imported, the tariff is known as an import tariff or import duty.

b) **Export Duties:**

Export duties are imposed on the commodities exported to be sold in foreign market, it is called an export tariff or export duty.

6.2.2 Effective Rate of Protection

Tariffs can be imposed on both final goods and intermediate goods as well. Tariffs on raw materials and intermediates impact the cost of production for domestic industry. Thus, we must consider tariff on raw material while assessing the extent of protection provided to the domestic industry in prevailing tariff structure. The extent of protection granted to the domestic industry by the given structure of nominal tariff rates is measured by the Effective Rate of protection (ERP). Under free trade, value added in the domestic industry would be determined by world market prices of the final good and imported inputs. And thus, effective rate of protection will be same as tariff rate. Also, if production of the final good does not need any intermediate goods, then the ERP equals the nominal rate of tariff on the final good. When a tariff is imposed, domestic prices can exceed the world market prices. Here, domestic value added and ERP would depend on the extent of price increase of the final good vis-à-vis that of intermediates along with the need of the intermediate goods in the production process.

ERP measures the change in value added in the domestic industry due to tariff protection. By definition,

$$ERP_F = (V_T - V_W) / V_W,$$

ERP_F is the ERP on the final good F; V_T is a value-added in the production of F after tariff; and V_W , is a value-added in the production of F at world market prices, i.e. V_W is the value added under 'free trade'. Remember, value added is the difference between the price of the 'final good produced by an industry, less the cost of inputs required per unit of production of the final good.

Let us consider a few examples to understand the concept of ERP clearly.

Consider a final good F whose world market price is Rs.10000. To produce one unit of F, you require one unit of an intermediate good I, whose world market price is Rs.5000. Thus V_w , in this case, is Rs.5000 (i.e. $10000-5000$).

Case 1 Suppose a tariff of 20% is imposed on the final good F, while there is no tariff on the intermediate, I. Assuming a small open economy, post tariff, the price of F in the domestic market rises by 20% (to Rs.12000) and V_T is Rs. 7000 (i.e., $12000-5000$). Hence ERP is 40% [i.e. $((7000-5000) / 5000) * 100$, which is much higher than the nominal rate of protection of 20%.

Case 2 Suppose there is no tariff on the final good F and a tariff of 10% is imposed on intermediate I. The small economy assumption means there will be no change in the world market price of I after the tariff, while its domestic price will increase by 10% (to Rs.5500). Now, V_T is Rs. 4500 (i.e., $10000-5500$) and ERP is - 10% [i.e. $((4500 -5000) / 5000) * 100$].

Following points can be kept in mind regarding ERP:

- if production of the final good does not need any intermediate goods, then the ERP will be equal to the nominal rate of tariff on the final good.
- if the tariff on final goods is higher than that on intermediate goods, then the ERP would be higher than the nominal rate of protection.
- ERP could be negative when tariffs on imports are too high compared to the tariff on the final good. When ERP is negative, it means that tariffs are reducing domestic value added as compared to free trade.

The measurement of ERP sometimes gets difficult because various inputs with different tariff rates are used to produce one commodity. Some other limitations of the concept of ERP is that it assumes fixed coefficients of production which do not allow for factor substitution possibilities. Also, the assumption of small open economy which cannot influence world prices is sometimes unrealistic.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Consider the following cases and describe whether ERP will be higher, lower or equal to the nominal rate of tariff:

Case I: If the production of the final good requires no intermediates:_____

Case II: If the tariff on final goods is higher than that on intermediates:_____

Case III: If the tariff on intermediate goods is higher than that on final goods.

- 2) Differentiate between Single column tariffs and double-column tariffs.

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- 3) List different categories of tariff barriers.

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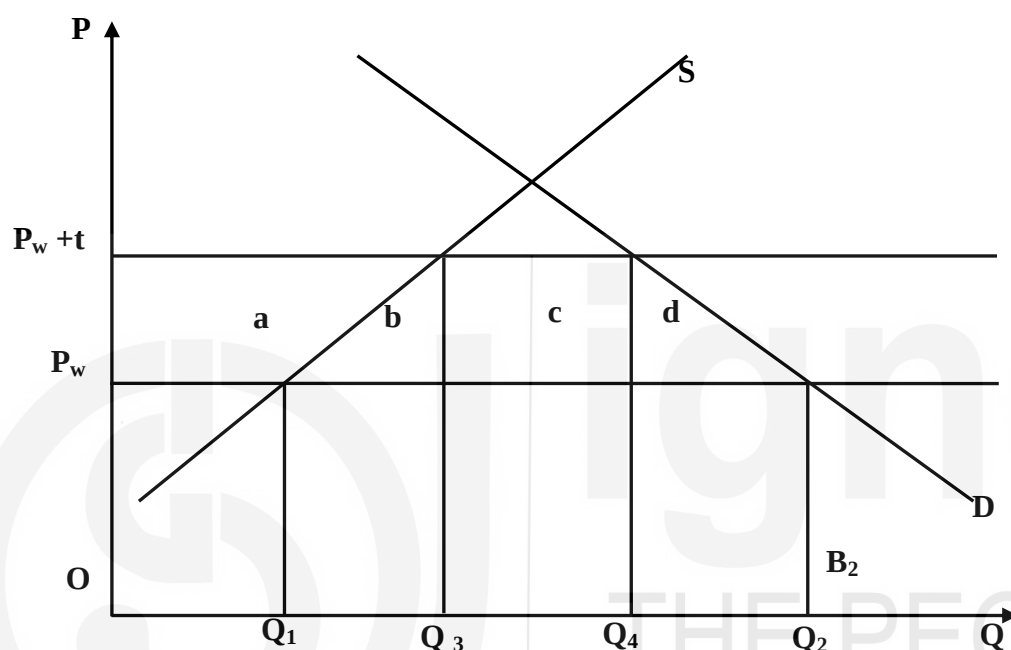
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6.2.3 Economic Impact of Import Tariff in partial equilibrium analysis

Using Figure 6.1, we will examine the impact of a tariff on various economic agents like consumers, producers and the government in a partial equilibrium framework. We assume that the country is a small open economy that cannot affect world market prices. This assumption implies that the tariff leaves the world market price of the good unaffected while raising its price in the domestic market. In Figure 6.1, we consider the domestic demand and supply curves of the imported good. The world market price of the good is P_w , which would prevail in the domestic market under free trade. Thus, with free trade, domestic production of the good would be Q_1 , domestic demand Q_2 , and the difference $Q_1 Q_2$ would be imported. A specific tariff rate of t per unit drives a wedge between the world price and the domestic market price of the imported good. Post-tariff prices in the domestic market rise to $(P_w + t)$. As a result, domestic production increases from Q_1 to Q_3 while consumption falls from Q_2 to Q_4 .

Now let us consider the costs imposed by the tariff. Owing to the tariff, domestic consumers suffer a loss in consumer surplus equal to the area $(a + b + c + d)$, compared to free trade. This loss arises because consumers must now pay a higher price $(P_w + t)$ for the good and also because they now consume Q_4Q_2 amount less of the good than with free trade. However, domestic producers gain from the price rise, with the area representing the increase in producer surplus. The government also gains from the tariff as it earns revenue. The imports are now Q_3Q_4 units, each paying a tariff of t per unit, so the tariff revenue is given by the rectangle with area c . The loss to consumers exceeds the gain to producers and the government taken together, indicating that the tariff results in a net social loss to society equal to the sum of areas b and d . In Figure 6.1, Area b measures the loss in social welfare from the production distortion due to the tariff. It represents the higher cost of producing Q_1Q_3 domestically rather than importing this amount; Area d is the welfare loss due to the consumption distortion created by the tariff. It represents the cost of not consuming Q_4Q_2 , an amount whose value to consumers exceeds the cost of importing it.

You should note that our partial equilibrium analysis of the impact of a tariff focuses simply on the market for the imported good. Repercussions on several important issues like terms of trade, BOP, factor markets etc., are left out of this framework, as in the case of our analysis of the benefits of free trade. In particular, our analysis does not attach any weight to employment in the sector being granted tariff protection. If the import-competing sector accounts for a significant share of total employment, the measures of welfare loss would have to be adjusted accordingly. In reality, employment is often the most important reason underlying the imposition of protectionist trade policies.



Source: Figure 6.3 in Sikdar (2003)

Figure 6.1: Economic impact of Import tariff in a partial Equilibrium analysis

6.2.4 General Equilibrium Analysis: Impact of Tariff on Volume of Trade and Terms of Trade (TOT)

When a country imposes a tariff, not only a specific product or sector but every sector of the economy gets affected in one way or the other. Import tariff changes the production and the consumption of other goods which in turn affect the composition of production and the allocation of resources across different sectors. Eventually, the volume of trade changes correspondingly. Further, a change in the Volume of trade may change the country's TOT (depending upon the size of the country and how the government spends the tax revenue). Let us examine the impact of the tariff on the Volume of trade and Terms of trade (TOT) in a small country and a large country.

1) General Equilibrium Analysis of Tariff in a Small Country:

When the tariff-imposing country is small, the domestic price of the importable commodity will rise by the full amount of tariff for the individual

consumers and producers in that small tariff-imposing country. The international price of the commodity will, however, remain unaffected. Let us assume that a small economy produces two commodities: Machinery (being imported) and textiles (being exported). When an import tariff is imposed, it will increase the price of machinery, which will encourage domestic production. But, if all the resources are fully employed, expansion in the production of machinery will require contraction in the production of textiles. Thus an import tariff will expand the machinery sector and contracts the export sector. On the other hand, the higher domestic price of machinery will shift consumption from machinery to textiles. Consequently, both the volume of exports and the volume of imports will decline. Thus the Volume of trade will fall.

Import tariff leads to welfare losses for a small country on two fronts: 1. Import tariff reallocates the resources from exporting the commodity to importing the commodity in which the country has a comparative disadvantage. 2. It alters the consumption pattern of the consumers as they have to pay a higher price for importing goods.

The general equilibrium analysis of tariffs in the case of a small country can be understood with the help of Fig. 6.2.

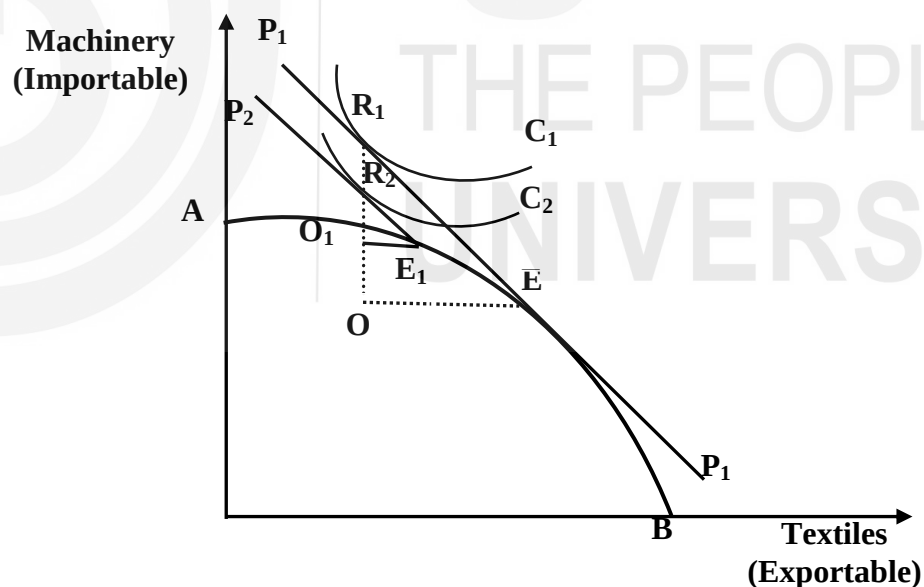


Figure 6.2: General Equilibrium Analysis of Tariff in a Small Country

In Fig. 6.2., the production possibility curve related to two commodities Textile and Machinery is AB. Under the assumptions of CRS technology and diminishing marginal productivities, PPF is drawn strictly concave downwards.

Initially, in the case of free international trade, P_1P_1 is the international exchange ratio line and the production equilibrium point is E.

The consumption equilibrium point is R_1 which lies on the community indifference curve C_1 . In this situation, country A exports OE quantity of textiles

and imports OR_1 quantity of machinery. If a tariff is imposed but the world prices of commodities remain the same, the international exchange ratio line is P_2E_1 , parallel to the original international exchange ratio line P_1P_1 .

Now production equilibrium shifts to E_1 where country A produces a large quantity of domestic machinery (importable goods). This is the production or protective effect of tariffs. The consumption equilibrium shifts from R_1 to R_2 where the international exchange ratio line P_2E_1 becomes tangent to a lower community indifference curve C_2 .

It shows that tariff has caused a reduction in the welfare of the tariff-imposing small country. The shift in consumption point from R_1 to R_2 signifies the consumption effect of the tariff. After the tariff, the country exports the O_1E_1 quantity of textiles and imports the R_2O_1 quantity of machinery. Both exports and imports are smaller than the free trade levels. Thus, tariffs for a small country is welfare reducing.

2) General Equilibrium Analysis of Tariff in a Large Country:

For a large tariff-imposing country, a tariff changes its TOT along with VOT. If the tariff-imposing country is large, reduced demand for imports due to tariff imposition may reduce the world demand for the concerned commodity to a great extent. Since the extent of reduced demand is high, it may reduce the international price of the concerned commodity. Thus, the price of an exporting commodity remains unchanged while that of importing commodity falls. This will cause a change in the international price ratio and will bring an improvement in the terms of trade of the tariff-imposing large country.

The production effect, consumption effect and terms of trade effect due to tariff can be explained through Fig. 6.3. Continuing with the example in Figure 6.2, a country produces two commodities: Machinery (being imported) and textiles (being exported)

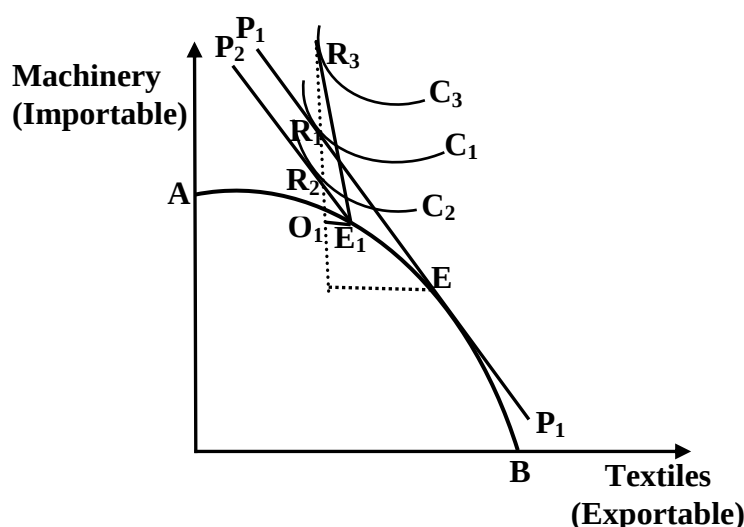


Figure 6.3: General Equilibrium Analysis of Tariff in a Large Country

When a large country imposes a tariff, the World price of the importable commodity falls (while the price of the exportable commodity is the same), shifting the international exchange price line to P_3E_1 . As you can observe in Figure 6.3, price line P_3E_1 is steeper than the exchange ratio line P_1P_1 or P_2E_1 . It simply means that the country can now buy its imports cheaper and sell its exports at the same price.

In this case, the production equilibrium occurs at E_1 and consumption equilibrium occurs at R_3 where P_3E_1 becomes tangent to the higher community indifference curve C_3 . The large tariff-imposing country imports R_3O_1 quantity of machinery and exports O_1E_1 quantity of textiles. A higher ratio of imports to exports indicates that the terms of trade have become favourable for the tariff imposing-country A.

The large country experiences production or protective effect as the domestic production of machinery increases owing to a shift in the production equilibrium from E to E_1 . Although, increased domestic production required the reallocation of resources the country has gained because of positive consumption and terms of trade effects.

The large country also experiences a welfare effect despite a reduction in specialisation and reallocation of resources towards import-substitute production. The welfare effect is reflected in the shift of consumption equilibrium to the highest community indifference curve C_3 . This is the positive consumption effect. Thus, large country imposing tariff benefits from the favourable TOT, despite the reduction in the volume of international trade.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) Describe the economic impact of Import tariff in a partial Equilibrium analysis.

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- 2) What is the Impact of tariff on the Volume of trade and Terms of trade (TOT) in the case of a small country?

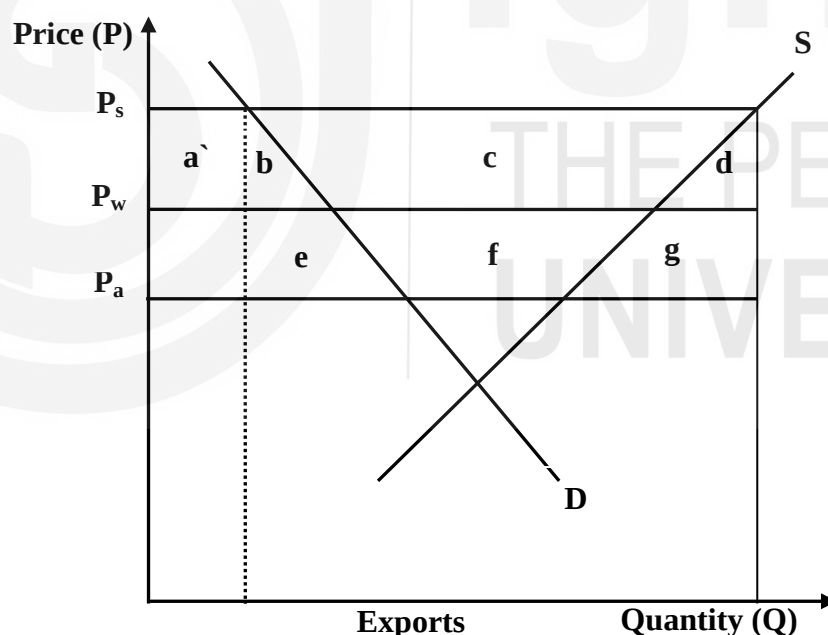
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3) Does a large country gain or lose from imposing a tariff? Justify.

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6.3 EXPORT SUBSIDIES

Export subsidies are government policies that are implemented to encourage the export of goods by incentivizing local producers through easy and cheaper loans, direct payments, tax benefits etc. Like a tariff, an export subsidy can be either specific i.e. a fixed sum per unit or ad valorem i.e. the proportion of value exported. When the government provides an export subsidy, producers export up to a point where the domestic price is greater than the foreign price by the amount of subsidy. While export subsidies indeed help increase exports, there are costs associated with them. The effects of export subsidies on producers, consumers and the economy are explained in Figure 6.4



Source: Figure 6.4 in Sikdar (2003)

Figure 6.4: Effects of an export subsidy

When a country provides subsidies to exporters, the price will rise from P_w to P_s . At the same time, the price in importing countries falls from P_s to P_a , thus the price rise is less than the subsidy. In the exporting country, consumer loss is the area $a+b$ in Figure 6.4 as they have to pay higher. Producers' gain is reflected in the area $a+b+c$; the government subsidy is the area $b+c+d+e+f+g$. The net welfare loss is, therefore the sum of the area $b+d+e+f+g$. Also, unlike in the case of tariff, export subsidies worsens the terms of trade by lowering the International

price from P_w to P_a . This leads to additional terms of trade loss $e+f+g$. Thus, export subsidy negatively affects the national welfare.

Table 6.1 Welfare Effects of an Export Subsidy

	Exporting Country
Consumer Surplus	$-(a + b)$
Producer Surplus	$+(a + b + c)$
Govt. Revenue	$-(b + c + d + e + f + g)$
National Welfare	$-(b + d + e + f + g)$

6.4 NON-TARIFF BARRIERS

Besides tariff barriers, various non-tariff barriers are also prevalent in various countries. Just like tariff barriers, non-tariff barriers also influence the global economy by limiting free trade. Various non-tariff barriers include quantitative restrictions like import quotas, Voluntary export restraints, Exchange controls, Import deposit schemes, Health and safety standards, Customs valuation procedure, Local content requirements etc. This section will discuss these non-tariff barriers and their impact on the economy.

6.4.1 Import Quota

Import quotas impose direct restrictions on the quantum of imports into a country.

In practice, quotas are administered through a system of import licenses. Only license holders can import specified quantities of the imported goods into the domestic market. When imports are limited, domestic demand for the good exceeds domestic supply plus imports.

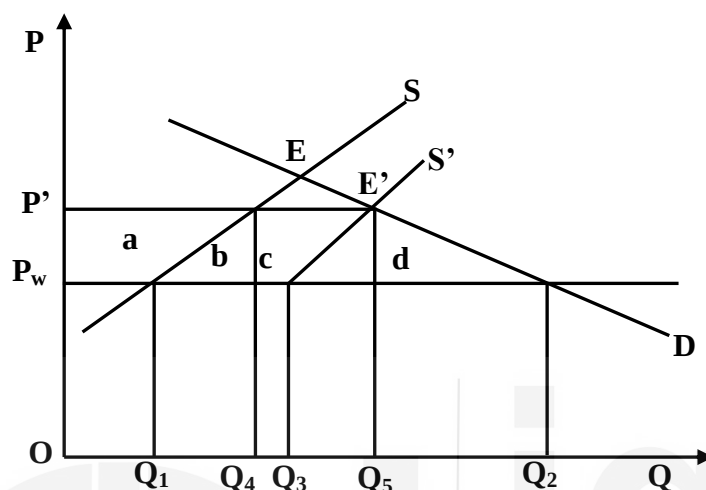
Thus, you will see that with a quota the domestic price of an imported good will always be higher than its world market price. License holders buy the imported goods at world market prices and then sell at higher prices in the domestic market. Import quota raises the domestic prices by the same amount as a tariff that limits the imports to the same level except when it is a monopoly in the domestic market.

In what follows we will examine the impact of an import quota under different market structures in the domestic economy. We first discuss the case of perfectly competitive markets and then that of monopoly.

1) Import Quotas with Perfect Competition

Figure 6.5 demonstrates the effect of an import quota when markets are perfectly competitive. D and S represent the demand and supply curves for the good before

quota imposition. Under free trade, the world price P_w prevails, total domestic production is Q_1 , demand is Q_2 , and $Q_2 - Q_1$ amount is imported. Now suppose an import quota is imposed, which restricts imports to $Q_3 - Q_1$ (where, $Q_3 - Q_1 < Q_2 - Q_1$). Immediately with quota imposition, at the world price P_w , domestic demand falls short of total domestic production plus imports. This excess domestic demand drives up prices in the domestic market, till the market clears.



Source: Figure 6.5 in Sikdar (2003)

Figure 6.6: Effect of an import quota when markets are perfectly competitive

The quota effectively shifts the domestic supply curve to S' , by the amount of the quota. The economy moves to the new equilibrium E' , where the price has risen from P_w to P' , domestic production has increased from Q_1 to Q_4 while domestic demand has fallen from Q_2 to Q_5 . At E' , imports, restricted by the quota, are equal to the amount $Q_4 - Q_5$ (note that $Q_3 - Q_1 = Q_5 - Q_4 = \text{import quota}$). A tariff rate equal to $P' - P_w$, is the tariff equivalent of the quota. It would have restricted imports to the same level as the quota and had the same effect on domestic prices. However, implementing the tariff equivalent of a quota may not always be feasible, as the rate may be too high to be acceptable. You should see that in the case of a tariff, a quota involves a loss in consumer surplus equal to the area $(a + b + c + d)$. This is offset by a rise in producer surplus equal to the area a . But an important difference between tariffs and quotas arises from the fact that with a quota the government does not earn revenues as in the case of a tariff. The area c , therefore, does not accrue to the government, rather it represents the quota rent, which may be captured by the import-license holders, who buy at the world price P_w and sell at a higher price P' , making a profit of $(P' - P_w)$ per unit of imports. If c accrues to the license holders and is counted as part of the social gain, then the social loss from the quota is equal to the area $(b + d)$, the same as in the case of a tariff.

Often foreign exporters have the right to sell directly in the domestic market. In that case, the quota rent c would accrue to foreigners and it would be a social loss from the domestic country's point of view.

Another disturbing possibility, and one that is often observed in practice, is that the quota rent may not accrue to license holders. Rather it may be dissipated in rent-seeking activities, like paying bribes to acquire import licenses. In that case, area c would be a social loss and the total cost imposed by the quota would equal the area $(b+c+d)$, which is more than in the case of an equivalent tariff.

Governments in developing countries have the option to auction import licenses. A competitive bidding process would drive the price of licenses up to $(P' - P_w)$ per unit of imports and the government would earn revenue equal to the area c . If this process worked smoothly, the effects of a tariff and quota would be equivalent. However, sometimes, the auctions may not be competitive and collusion among bidders might subvert the entire process.

2) Import Quotas with Monopoly

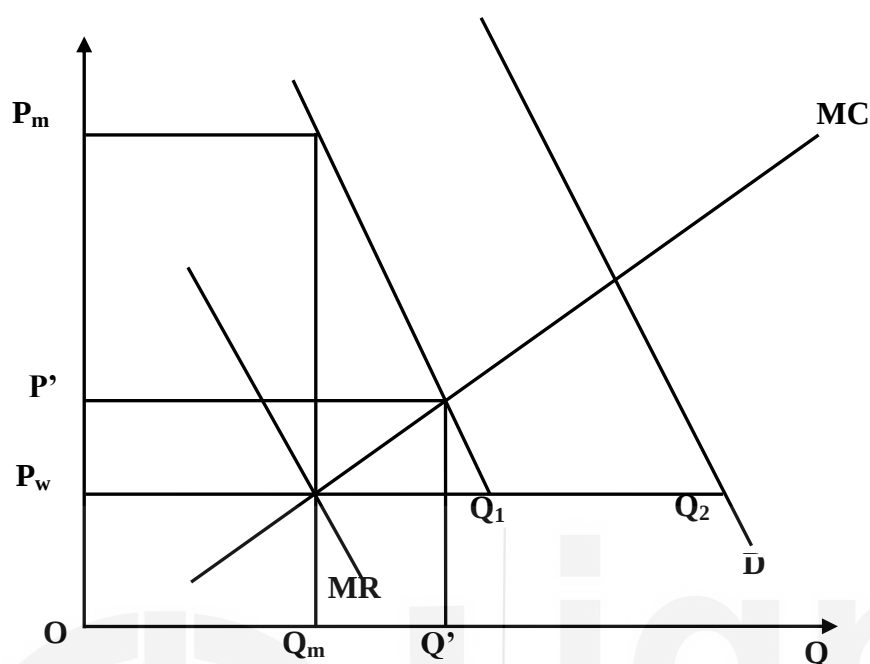
When there is a domestic monopoly, an import quota leads to a greater loss in social welfare, as compared to perfect competition. We will see that in the presence of a monopoly, an import tariff should be preferred to a quota from the efficiency and social welfare point of view.

When there is a tariff t , imports are freely available at a price $(P_w + t)$. So the monopolist cannot charge a higher price than this level, for if he did domestic consumers would go for imports and his sales would be reduced to zero. Thus, a tariff effectively imposes a price ceiling. However, with a quota, the monopolist can charge a price higher than the import price. In this case, he will not lose his entire market share, since imports cannot exceed the limit set by the quota. Thus a quota preserves the monopolist's price-setting power to a large extent.

This argument is illustrated in Figure 6.6. Under free trade, D is the demand curve facing the monopolist and the domestic price of the good is the world market price, P_w . Suppose, an import quota is set, limiting imports to the amount Q_1Q_2 . With the quota, the demand curve facing the monopolist shifts inwards by the amount of the quota, at all prices above P_w , because imports have reduced the monopolist's market by Q_1Q_2 . Post quota imposition, the relevant marginal revenue curve facing the monopolist is MR , corresponding to the new demand curve.

In this situation, the monopolist will maximise profits by producing an output of Q_m , at which marginal revenue equals marginal cost. This output will be sold at the price P_m , read off the demand curve. Now $(P_m - P_w)$ is the tariff equivalent of the quota or the quota rent earned by the import license holders. Note that with perfect competition in the domestic market, the MC curve would have been the supply curve, and the market price would have been P' and output, Q' . Clearly with a monopoly the outcome is more inefficient, compared to perfect competition. The monopoly output is lower ($Q_m < Q'$) and the price is higher ($P_m > P'$), leading to greater welfare losses. From this analysis it should be clear to you why tariffs are preferred to quotas, especially when the domestic producer

wields monopoly power. GATT negotiations have tried to phase out quantitative restrictions and replace quotas with tariffs.



Source: Figure 6.5 in Sikdar (2003)

Figure 6.5: Effect of an import quota when the market is a monopoly

6.4.2 Voluntary Export Restraint

A variant of the import quota is the voluntary export restraint (VER), also known as a voluntary restraint agreement (VRA). A VER is a quota on trade imposed from the exporting country's side instead of the importers. This is a self-imposed restriction on the quantity of a good permitted to export to another country.

VERs are export quotas negotiated by an importing country with its trading partners. Under this, importing countries request other countries to voluntarily lower their exports to protect domestic businesses. Under the negotiation, exporting country voluntarily agrees to restrict the quantity of exports. VERs had been a popular way for importing countries to protect their domestic industries without going into a trade war with exporting countries.

Historically, it was used largely by developed countries on textiles, footwear, steel, automobiles, etc to impose their own restrictions rather than facing tariffs and quotas. It was one of the popular measures of protectionism during the 1980s. But the WTO members agreed to not use any new VERs in 1994. As per many economists, Voluntary Export Restraints are ineffective over a longer period. For instance, The U.S. automobile companies were facing more competition from efficient Japanese automobiles so Japan imposed Voluntary Export Restraints (VERs) on the exports of cars manufactured in Japan to the U.S. but this non-tariff measure proved to be ineffective.

In Uruguay's negotiation round, World Trade Organization (WTO) does not prevent governments from imposing VERs on exporters through negotiation. However, the governments of the importing and exporting countries are sometimes able to convince exports to put VERs on the quantity of the exports. A VER is always more costly to the importing country than a tariff that limits the imports by the same amount.

Table 6.2 Summary of Impact of Tariff and quantitative restrictions on the Economy

	Tariff	Export subsidy	Import Quota	Voluntary export restraint
Producer Surplus	Increases	Increases	Increases	Increases
Consumer surplus	Falls	Falls	Falls	Falls
Government revenue	Increases	Falls (government spending rises)	No change (rent to license holders)	No change (rent to foreigners)
Overall national welfare	Ambiguous (falls for a small country)	Falls	Ambiguous (falls for a small country)	Falls

Source: Krugman, P. R., & Obstfeld, M. (1997). *International economics: Theory and policy*. Addison Wesley.

6.4.3 Other Non-Tariff Barriers

The following are some of the other important NTBs commonly used by countries following protectionist policies:

1) Exchange controls:

Exchange controls are restrictions imposed by countries' Central Banks that directly limit domestic residents' ability to acquire foreign currency in exchange for domestic currency. For instance, one method of imposing exchange controls involved acquiring the Central Bank's permission to hold foreign currency bank accounts.

2) Import deposit schemes:

These are rules imposed by countries' Central Banks, which tend to restrict imports by making them more expensive. For instance, under the rules importers are required to deposit a certain amount (usually in proportion to the value of the imported good) with the Central Bank, which effectively raises the cost of importing.

3) Health and safety standards:

Often importing countries insist that imported goods meet certain minimum health, safety and environmental standards. Meeting the standards would raise costs for the exporting country. Presumably, the underlying motive for standard imposition is to safeguard the health and general welfare of domestic residents of the importing nation. However, in practice, these standards are often used by developed nations to restrict imports originating from low wage developing countries. For instance, faced with cheap manufacturing imports from low-wage countries like Malaysia, Indonesia and Thailand, developed countries now insist that these countries comply with certain minimum labour and environmental standards, which would raise their production costs.

4) Customs valuation procedure:

Under this procedure, the importing country would artificially enhance the value of the imported goods under some pretext, which would raise its duty under a system of ad valorem tariffs. For instance, Sikdar (2003, p.141) cites the example of the US valuing certain chemical imports at the 'American selling price' (rather than at the 'invoice' price or the 'world market' price) in the post-war period. However, this practice was discontinued since the Tokyo Round of negotiations.

5) Local content requirements:

This is a practice followed especially in developing countries, which requires that some stipulated portion of a final good be produced domestically. Or it may be stated that a certain specified fraction of the final goods price must represent domestic value added. The underlying logic is to promote the local production of certain intermediate goods. From the importing firm's viewpoint, there is no restriction on imports. For they can import more, if they also buy more from local firms. From the domestic intermediate industries' point of view, a local content requirement provides trade protection in the same way as an import quota.

Check Your Progress 3

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) What are the effects of an import quota, when there is perfect competition in the domestic market??

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- 2) What are the effects of an import quota, when there is a monopoly in the domestic market?

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- 3) List various non-tariff barriers that countries use to restrict trade flows.

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- 4) What do you mean by Voluntary Export restraints?

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6.5 LET US SUM UP

After understanding the theories of protectionism in the previous unit, we discussed various instruments countries use to protect their domestic industries from free trade and international competition. We discussed tariffs and various non-tariff barriers to trade in this unit.

In this unit, we discussed various categories of a tariff like import tariffs, export tariffs, Specific tariffs, Ad Valorem tariffs, Compound tariffs, revenue tariffs, protective tariffs, Single-Column tariffs, Double-Column tariffs and Triple-Column tariffs. We also discussed the effective rate of protection, which measures the extent of protection granted to the domestic industry by the given structure of nominal tariff rates. Tariffs on raw materials and intermediates would raise the cost of production for domestic industry and will affect the effective rate of protection vis-à-vis nominate rate of tariff.

We also discussed the economic impact of Import tariffs in partial equilibrium analysis on various economic agents like consumers, producers and the government. We found out that while tariff increases producer surplus and government revenue, it hurts consumer surplus. We also examined the impact of the tariff on the Volume of trade and Terms of trade (TOT) in general equilibrium analysis in the case of a small country and a large country. Overall the national welfare falls for the small country.

We also discussed Export subsidies as government policies that are implemented to encourage the export of goods by incentivizing local producers through easy and cheaper loans, direct payments, tax benefits etc. We analysed its impact on the economy and compared it with the effect of the tariff on the economy. We analysed that while export subsidy is beneficial for the producer, it hurts

Consumer surplus and government revenue. Overall, export subsidies negatively affect the overall national welfare.

We also discussed quantitative restrictions like import quota and Voluntary export restraints and their impact on the economy. We identified that import quota and VER increase producer surplus and reduce consumer surplus. We also discussed about other non-tariff barriers like exchange controls, import deposit schemes, health and safety standards, customs valuation procedure and local content requirements

We also identified that tariffs lead to more efficient outcomes compared to non-tariff barriers like quotas, as in addition to restricting the flows of imported goods; tariffs also impose a price discipline on domestic firms. Further, while the government directly benefits from tariff revenues, the quota rent may be completely dissipated in wasteful rent-seeking activities, leading to a social loss.

6.6 KEY WORDS

Consumer Surplus

The gain to consumers when the price they are willing to pay for a given quantity of a good exceeds the amount they have to pay for that quantity.

Effective Rate of protection (ERP) It measures the extent of protection granted to the domestic industry by the given structure of nominal tariff rates.

Free Trade

When countries engage in international trade without imposing any policy restrictions on the free flow of goods and services across international boundaries.

Non-tariff barriers

A non-tariff barrier is any measure other than a customs tariff, that acts as a barrier to international trade.

Perfect Competition

Perfect Competition is a market condition characterised by perfect information among buyers and sellers. It consists of a large number of firms that are price takers and who sell a homogeneous product to a large number of buyers.

Producers Surplus

The gain to producers arises from the difference between the minimum price at which they are willing to supply a given quantity of a good and the price they receive by selling that quantity in the market.

Quota	A quantitative restriction on the quantum of imports is permissible that is often administered via the distribution of import licenses.
Tariff	A tax imposed on imported goods raises the price of such goods in the domestic market.
Terms of Trade	The ratio of the price received for a country's exports to the price paid for its imports.
Voluntary export restraint	It is a self-imposed trade restriction at the request of the importing country whereby an exporting country limits the number of goods of a particular nature that it can export to a specific country or region.

6.7 SOME USEFUL REFERENCES

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6.8 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check your progress 1

- 1) Case I: Equal, Case II: Higher. Case III: Lower
- 2) The Single-Column Tariff also known as the uni-linear tariff system provides uniform tariff rates to all the commodities irrespective of the country of origin while in the Double-Column tariff system, different tariff rates are charged for different countries.
- 3) Refer to section 6.2.1

Check your progress 2

- 1) Refer to section 6.2.3
- 2) Refer to section 6.2.4
- 3) Refer to section 6.2.4

Check your progress 3

- 1) Refer to section 6.4.1
- 2) Refer to section 6.4.1
- 3) Refer to section 6.4.3
- 4) Refer to section 6.4.2





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